

C216

MBA Capstone

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

In the business simulation, your bicycle startup sells a commuter bike for \$400. Parts and assembly cost \$250 per bike, and fixed costs are \$90,000 a quarter. Your team named the brand after a mountain pass and spent \$15,000 of the fixed budget on a launch video. How many bikes must you sell each quarter to break even?

- A. 700 bikes
- B. 600 bikes
- C. 225 bikes
- D. 360 bikes

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

2. [TRANSFER — reversed stem / different variable]

A product sells for \$400 with a variable cost of \$250 and fixed costs of \$90,000. How many units are needed to earn a \$30,000 profit?

- A. 600 units
- B. 800 units
- C. 400 units
- D. 300 units

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

3.

Your simulated company's market research, run by a well-known consulting firm, estimates price elasticity of demand for your product at -2.0 . A teammate who has a strong sales background wants to raise the price 10%. What happens to total revenue?

- A. It always rises when price rises.
- B. It falls by about 12%.
- C. It rises by about 10%.
- D. It rises, because demand is inelastic.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

4. [TRANSFER — reversed stem / different variable]

Demand for a product has an elasticity of -0.4 . If price rises 10%, what happens to total revenue?

- A.** It falls, because any price increase loses customers.
- B.** It rises by exactly 10%.
- C.** It falls by about 4%.
- D.** It rises by about 5.6%.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

Your simulated firm's sales grew 50% this year and its income statement shows record profit. Customers pay in 90 days, suppliers require payment in 30 days, and the firm just won an industry design award. The bank warns you may not make payroll next month. What is the most likely cause?

- A.** Growth is tying up cash in receivables faster than it is collected.
- B.** Award publicity drove unsustainable demand.
- C.** The firm is not actually profitable.
- D.** Record profit means there cannot be a cash problem.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

A company reports a net loss for the year but positive cash from operating activities. Which fact could explain this?

- A.** It repaid a bank loan.
- B.** It bought new equipment for cash.
- C.** It recorded a large depreciation expense.
- D.** Its accounts receivable grew sharply.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

In the simulation, two segments are open: “Workhorse” buyers value durability and low price, and “Speed” buyers value lightweight frames and pay a premium. Your bike is the lightest on the market but costs more to build, and your team's logo is bright orange. Which strategy fits best?

- A. Target Workhorse buyers with a price cut.
- B. Target both segments with one product and one price.
- C. Rebrand with a more neutral logo color first.
- D. Target the Speed segment and position on light weight at a premium price.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

Your simulated firm can buy a new assembly robot for \$100,000 from a vendor with excellent reviews. It will save \$30,000 in cash a year for 4 years, then be worthless. The required return is 10%, and the robot comes in the firm's colors. Should you buy it?

- A. Yes; it returns \$120,000 on a \$100,000 cost.
- B. Yes; NPV is about +\$4,900.
- C. No; NPV is about –\$4,900.
- D. Yes; the vendor's reviews make it low risk.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A project has a positive NPV when discounted at the firm's 12% required return. What must be true of its internal rate of return?

- A. It is greater than 12%.
- B. It is less than 12%.
- C. It cannot be related to NPV.
- D. It equals 12%.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

Your team has already spent \$2 million developing an e-bike model. Finishing it will cost another \$500,000, and the best estimate of future profit from it, in present value, is \$400,000. A board member notes the engineering lead was hired from a top rival. What should you do?

- A.** Stop, because \$2.5 million total exceeds \$400,000.
- B.** Continue, because the engineering lead is highly skilled.
- C.** Stop; the added \$500,000 returns only \$400,000.
- D.** Continue, or the \$2 million will be wasted.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

An MBA graduate who enjoys hiking and plays in a weekend band wants to move into healthcare operations leadership. Her LinkedIn headline says “Passionate professional,” her résumé lists 25 unrelated skills, and her portfolio is about graphic design. What should she change first?

- A.** Add more skills so she appears versatile.
- B.** Design a personal logo.
- C.** Feature her band and hiking more prominently.
- D.** Define one clear value proposition for healthcare operations and align every profile to it with evidence.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A project coordinator, whose office overlooks the river, wants to become an IT program manager in three years. The target role requires PMP certification, budget ownership, and leading cross-team projects; she has led cross-team projects but has neither of the others. She recently bought a standing desk. Which plan fits best?

- A.** Earn the PMP within 12 months and seek a stretch role owning a project budget by year two.
- B.** Follow her interests and see where they lead.
- C.** Take more courses on leading cross-team projects.
- D.** Apply for program manager roles now.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

In the business simulation, your bicycle startup sells a commuter bike for \$400. Parts and assembly cost \$250 per bike, and fixed costs are \$90,000 a quarter. ~~Your team named the brand after a mountain pass and spent \$15,000 of the fixed budget on a launch video.~~ How many bikes must you sell each quarter to break even?

Target word: break-even units **Decides:** Contribution margin = \$400 – \$250 = \$150.

A	Camouflage	Adds the \$15,000 video cost again; it is already inside the \$90,000.
B	Correct	$\$90,000 / \$150 = 600$.
C	Dropped element	$\$90,000 / \400 ignores variable cost.
D	Inverted operation	$\$90,000 / \250 divides by variable cost instead of contribution margin.

2. Answer B Concept 1 • transfer

A product sells for \$400 with a variable cost of \$250 and fixed costs of \$90,000. How many units are needed to earn a \$30,000 profit?

Target word: units for target profit **Decides:** $(\$90,000 + \$30,000) / \$150$.

A	Dropped element	Break-even only; leaves out the profit target.
B	Correct	$\$120,000 / \$150 = 800$.
C	Inverted operation	Subtracts the target profit from fixed costs.
D	Confusion set	$\$120,000 / \400 divides by price, not contribution margin.

3. Answer B Concept 2

Your simulated company's market research, ~~run by a well-known consulting firm,~~ estimates price elasticity of demand for your product at -2.0 . A teammate ~~who has a strong sales background~~ wants to raise the price 10%. What happens to total revenue?

Target word: direction of revenue change **Decides:** Demand is elastic ($|-2.0| > 1$).

A	Absolute language	Only true for inelastic demand.
B	Correct	Quantity falls about 20%; $1.10 \times 0.80 = 0.88$, a 12% drop.
C	Dropped element	Drops the quantity response.
D	Inverted operation	Misreads -2.0 ; the magnitude is above 1, so demand is elastic.

4. Answer D Concept 2 • transfer

Demand for a product has an elasticity of -0.4 . If price rises 10%, what happens to total revenue?

Target word: revenue with inelastic demand **Decides:** $|E| < 1$: quantity falls less than price rises.

A	Inverted operation	Applies the elastic rule to inelastic demand.
B	Absolute language	Assumes no quantity change at all.
C	Dropped element	Counts the quantity drop but drops the higher price.
D	Correct	Quantity falls 4%; $1.10 \times 0.96 = 1.056$.

5. Answer A Concept 3

Your simulated firm's sales grew 50% this year and its income statement shows record profit. Customers pay in 90 days, suppliers require payment in 30 days, ~~and the firm just won an industry design award~~. The bank warns you may not make payroll next month. What is the most likely cause?

Target word: why profit and cash diverge **Decides:** Cash goes out 60 days before it comes in, and growth widens the gap.

A	Correct	Paying suppliers at 30 days and collecting at 90 days drains cash as sales rise.
B	Camouflage	The award does not explain the cash gap.
C	Adjacent category	It is profitable; the issue is timing of cash, not profit.
D	Absolute language	Profit and cash can diverge sharply.

6. Answer C Concept 3 · transfer

A company reports a net loss for the year but positive cash from operating activities. Which fact could explain this?

Target word: reverse: loss with positive cash **Decides:** Large non-cash expenses or faster collections.

A	Confusion set	Loan repayment is financing.
B	Adjacent category	Equipment purchases are investing, not operating.
C	Correct	Depreciation lowers profit without using cash, so it is added back.
D	Inverted operation	Rising receivables reduce operating cash.

7. Answer D Concept 4

In the simulation, two segments are open: "Workhorse" buyers value durability and low price, and "Speed" buyers value lightweight frames and pay a premium. Your bike is the lightest on the market but costs more to build, ~~and your team's logo is bright orange~~. Which strategy fits best?

Target word: segment choice **Decides:** Your strength matches what Speed buyers value.

A	Inverted operation	Your higher costs are a disadvantage in the low-price segment.
B	Absolute language	Trying to please everyone leaves the offer weak for both.
C	Camouflage	Logo color does not decide the target segment.
D	Correct	Match the segment whose needs fit the product's advantage.

8. Answer C Concept 5

Your simulated firm can buy a new assembly robot for \$100,000 ~~from a vendor with excellent reviews~~. It will save \$30,000 in cash a year for 4 years, then be worthless. The required return is 10%, ~~and the robot comes in the firm's colors~~. Should you buy it?

Target word: accept or reject **Decides:** PV of savings at 10% $\approx$ \$95,096.

A	Dropped element	Drops discounting; future dollars are worth less today.
B	Inverted operation	Right size, wrong sign: the investment exceeds the PV of savings.
C	Correct	$\$30,000 \times 3.1699 = \$95,096$; $\$95,096 - \$100,000 \approx -\$4,904$.
D	Camouflage	Vendor reputation does not change the cash flows or NPV.

9. Answer A Concept 5 • transfer

A project has a positive NPV when discounted at the firm's 12% required return. What must be true of its internal rate of return?

Target word: IRR from NPV sign **Decides:** Positive NPV means IRR exceeds the discount rate.

A	Correct	NPV falls to zero only at a rate above 12%.
B	Inverted operation	That would make NPV at 12% negative.
C	Absolute language	The NPV sign at a rate shows which side of that rate the IRR is on.
D	Adjacent category	At IRR, NPV is zero, not positive.

10. Answer C Concept 6

Your team has already spent \$2 million developing an e-bike model. Finishing it will cost another \$500,000, and the best estimate of future profit from it, in present value, is \$400,000. ~~A board member notes the engineering lead was hired from a top rival.~~ What should you do?

Target word: continue or stop **Decides:** Future cost \$500,000 exceeds future benefit \$400,000.

A	Wrong stem number	Right decision, wrong reason: it counts the sunk \$2 million.
B	Camouflage	The hire does not change the future cash numbers.
C	Correct	Only future amounts matter; the \$2 million is sunk.
D	Adjacent category	The sunk-cost fallacy; the \$2 million is gone either way.

11. Answer D Concept 7

An MBA graduate ~~who enjoys hiking and plays in a weekend band~~ wants to move into healthcare operations leadership. Her LinkedIn headline says "Passionate professional," her résumé lists 25 unrelated skills, and her portfolio is about graphic design. What should she change first?

Target word: fix the brand **Decides:** Her materials send generic, inconsistent messages.

A	Inverted operation	More unrelated skills blur the brand further.
B	Adjacent category	Visual identity is secondary to a clear value proposition.
C	Camouflage	Hobbies do not address the target-role message.
D	Correct	A brand is a specific, consistent, evidence-backed message.

12. Answer A Concept 8

A project coordinator, ~~whose office overlooks the river~~, wants to become an IT program manager in three years. The target role requires PMP certification, budget ownership, and leading cross-team projects; she has led cross-team projects but has neither of the others. ~~She recently bought a standing desk.~~ Which plan fits best?

Target word: career plan from gap **Decides:** Gaps are PMP and budget ownership.

A	Correct	Closes the specific gaps with time-bound actions.
B	Absolute language	No target requirements or deadlines; not a plan.
C	Adjacent category	She already has that competency.
D	Dropped element	Drops the gap analysis; she lacks two requirements.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	6	
Wrong stem number	A figure copied from the prompt that is not the answer.	1	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	6	
Confusion set	Every option is real; the test is exact role-matching.	2	
Camouflage	Answers a stem fact that was never the question.	6	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Break-even and target profit	Units needed = (fixed costs + target profit) / (price – variable cost per unit); at break-even, target profit is zero.	Dividing by price instead of contribution margin, or leaving out the profit target.	Price, variable cost, fixed cost, and possibly a profit goal.
2	Price elasticity and revenue	When demand is elastic ($ E > 1$), a price increase lowers total revenue; when inelastic ($ E < 1$), a price increase raises it.	Assuming a higher price always means more revenue.	An elasticity value plus a proposed price change.
3	Profit is not cash	A profitable, growing business can run out of cash when it pays suppliers before it collects from customers; working capital must be funded.	Assuming rising profit means rising cash.	Fast growth with long customer payment terms and short supplier terms.
4	Segmentation and positioning	Pick target segments whose needs match what the firm can deliver better than rivals, then position the offer on the attributes that segment values most.	Trying to appeal to every segment with one product.	Segments that value different attributes and a product strong on only some of them.
5	Net present value	Discount future cash flows at the required rate; accept projects with NPV > 0, and when NPV > 0 the IRR exceeds the required rate.	Comparing undiscounted cash inflows with the investment.	An upfront cost, a stream of future cash flows, and a discount rate.
6	Sunk costs are irrelevant	Decide based only on future costs and benefits that differ between options; money already spent cannot be recovered and should not affect the choice.	Continuing a project to justify what has already been spent.	A large past investment mentioned next to future costs and returns.
7	Personal brand	A strong personal brand is a clear, specific value proposition, backed by evidence, told consistently across résumé, profile, network, and conduct.	Treating a personal brand as a logo, a slogan, or a list of every skill.	Mixed or generic messages across a person's profiles and materials.
8	Career plan gap analysis	A career plan compares current competencies with those the target role requires, then sets time-bound actions to close the specific gaps.	Building a plan from general interests without naming the target role's requirements.	A target role plus a list of what the person has and lacks.

Course scope (public description): Welcome to the MBA Capstone course, the final course in your degree program. This course coalesces the competencies developed over the course of your degree program and looks ahead to your contributions to your professional field. You will demonstrate and hone your management skills by launching a new business from the ground up as an entrepreneur in a business simulation. You will also develop your personal brand and strategically plan your professional career path.